

afternoon traded as high as \$89 before backing off to \$71¼. Magellan was allocated a small number of shares (you can't always get shares in hot public offerings). I did better with Apple Computer, which I sold on the first day for a 20 percent gain, because I was able to buy as many shares as I wanted. That was because a day before the offering, the Commonwealth of Massachusetts ruled that only sophisticated buyers could purchase Apple because the company was too speculative for the general public. I didn't buy Apple again until after it collapsed and became a turnaround.

IPOs of brand-new enterprises are very risky because there's so little to go on. Although I've bought some that have done well over time (Federal Express was my first and it's gone up twenty-five-fold), I'd say three out of four have been long-term disappointments.

I've done better with IPOs of companies that have been spun out of other companies, or in related situations where the new entity actually has a track record. Toys "R" Us was one of those, and so was Agency Rent-A-Car and Safety-Kleen. These were established businesses already, and you could research them the same way you research Ford or Coca-Cola.

BEWARE THE MIDDLEMAN

The company that sells 25 to 50 percent of its wares to a single customer is in a precarious situation. SCI Systems (not to be confused with the funeral-home firm) is a well-managed company and a major supplier of computer parts to IBM, but you never know when IBM will decide that it can make its own parts, or that it can do without the parts, and then cancel the SCI contract. If the loss of one customer would be catastrophic to a supplier, I'd be wary of investing in the supplier. Disk-drive companies such as Tandon were always on the brink of disaster because they were too dependent on a few clients.

Short of cancellation, the big customer has incredible leverage in extracting price cuts and other concessions that will reduce the supplier's profits. It's rare that a great investment could result from such an arrangement.

BEWARE THE STOCK WITH THE EXCITING NAME

It's too bad that Xerox didn't have a name like David's Dry Copies, because then more people would have been skeptical of it. As often as a dull name in a good company keeps early buyers away, a flashy name in a mediocre company attracts investors and gives them a false sense of security. As long as it has